

**IN THE HIGH COURT OF UNITED REPUBLIC OF THE  
TANZANIA  
(COMMERCIAL DIVISION)  
AT DAR-ES-SALAAM**

**COMMERCIAL CASE NO.8 OF 2020**

**GA INSURANCE TANZANIA LIMITED.....PLAINTIFF  
VERSUS  
GOLDSHIELD INSURANCE SERVICES (EA) LTD.DEFENDANT**

**DEFAULT JUDGEMENT**

Date of Last Order: 14/07/2020

Date of this Ruling: 19/8/2020

**NANGELA, J.:**

This is a default judgement arising from a claim for payment of monies, owing and payable by the Defendant to the Plaintiff. Plaintiff and the Defendants are both limited liability companies incorporated under the laws of the United Republic of Tanzania. The Plaintiff operates as an Insurer while the Defendant carries out the business of insurance brokerage.

The Plaintiff claims from the Defendant is for the payment of the sum of **TZS 83,592,938/=** due and payable by the Defendant to the Plaintiff as un-remitted insurance premiums. It is alleged that, the said insurance premiums were collected and received by the Defendant, as an insurance broker, from various clients, upon cover notes for insurance policies provided by the Plaintiff on diverse dates.

The Plaintiff alleges further, that, the Defendant, upon collecting the said funds as premiums from various clients, did not remit such funds to the Plaintiff and, instead kept such funds. It was the Plaintiff's averment that, upon being called upon to pay such funds, the Defendant sent cheques to the Plaintiff as part payment of the collected monies, but, upon presentation for their encashment, the said cheques were dishonoured by the bank.

It is the Plaintiff's averment that, to date, the Defendant has failed, refused and/or neglected to remit the said premiums and /or pay the outstanding sum of **TZS 83,592,938/=** or any part thereof. It is also averred that, despite several demands and reminders, including a notice of intention to sue, the Defendant has been non-responsive.

As the Plaintiff's patience ran short, and brought this suit praying for judgement and decree against the Defendant for:

1. The sum of **TZS 83, 592,938/=**.
2. Interest on the said sum in No.1 above, at the commercial rate from the date of default of payment to the date of judgement.
3. Interest on the decretal amount at the court rate from the date of judgement till the date of full payment.
4. Costs of this suit.
5. Interest on the costs at the rate of 7% per annum from the date of award thereof till full and final payment of the same.
6. Any other relief this court deems fit and appropriate to grant.

Mr. Sheikh informed the Court that, the original cover notes are referred to in the affidavit as **Annex. P.I, 2 and** On 13<sup>th</sup> February 2020, when the matter was called on for hearing, the Plaintiff was represented by Mr.Yusuf Sheikh and Ms. Immaculata Kessy, learned Advocates. Mr. Sheikh informed this Court that the Plaintiff's efforts to serve the Defendant with the Plaint have been futile as the Defendant's offices have remained closed. He applied for service to be made by way of substituted mode and suggested that the summons be published in two newspapers, preferably **Nipashe Newspaper** and the **Daily News Newspaper**. This Court granted the prayer for substituted service. The matter was fixed for orders on 17<sup>th</sup> March 2020 at 10.am.

On 17<sup>th</sup> March 2020, the learned counsel for the Plaintiff appeared and informed the Court that, the order of the Court, which was issued on the 13<sup>th</sup> day of February 2020 duly complied with because, on 19<sup>th</sup> February 2020 and 20<sup>th</sup> February 2020, the summonses were published in the two newspapers. Since the Defendant failed to appear or file a written statement of defence, the learned counsel for the Plaintiff submitted that his client should be allowed to proceed by filing Form No.1 seeking for a default judgement. This Court granted the prayer and fixed the matter to be called on for a "*mention in chambers*" on the 27<sup>th</sup> of April 2020.

Unfortunately the matter could not proceed on the 27<sup>th</sup> of April 2020, but it was fixed for orders on 2<sup>nd</sup> June 2020. On the

appointed date, the learned counsel for the Plaintiff informed this Court that, the Plaintiff has filed **Form No.1** (applying for default Judgement) as earlier prayed. He also sought for the direction of the Court regarding whether he should avail to the Court all original documents. This Court directed, as a matter of principle, that, a Plaintiff who files **Form No.1** seeking for a default is not absolved from the requirements of proving his case to the required standards. This means that, much as he did file his affidavit and may have referred to various documents in it, he cannot rely on the photocopies of the original documents as may be attached to the affidavit. Their originals must be tendered in Court or else he will be found to fall short of meeting the legal standards.

As such, the hearing of the case was scheduled to take place on 14<sup>th</sup> July 2020. On this date, the Plaintiff was represented by Mr. Sheikh, who also informed the Court that, he has submitted into this Court the original documents upon which the Plaintiff filed in this Court together with the affidavit supporting **Form No. 1** are based.

Mr. Sheikh informed this Court that, the cover notes are referred to in the affidavit as **Annex. P.1, 2 and 3. He** requested to have them all submitted and be received as Exhibits relied upon to prove the Plaintiff's case. He further submitted that, as regards statements of Accounts referred to under Paragraph 5 (b) of the Affidavit, the Plaintiff has attached certified copies from the bank the reason being that the bank does not return dishonoured cheques but

only issues a cheque deposit slip together with a return cheque advise, all of which have been attached to the affidavit as **Annex. P.1, 2 , 3, 4**. He tendered the originals which were received for the purposes of proof of the Plaintiff's claim and were **collectively marked as Exh.P.1.**

As regards **Annex.P.6 and 7**, Mr. Sheikh submitted that, these are copies of the newspapers which evince that the Defendant as served by way of publication as per the orders of this Court. In view of all these, Mr. Sheikh prayed, in line with Rule 22 (1) of the **High Court (Commercial Division) Procedure Rules, 2012 (as amended by Government Notice No.107 of 2019)**, this Court be pleased to enter judgement in favour of the Plaintiff as per the prayers in the Complaint filed in this Court.

It is worth noting that, in this suit, the following stands out clearly as undisputed:

1. THAT, after it was found impossible to serve the Defendants by the ordinary means of effecting service of the Complaint, the Defendants were duly served by way of publication on 19<sup>th</sup> February 2020 and 20<sup>th</sup> February 2020. However, they never turned out in Court nor did they file a Written Statement of Defence (WSD). As such the time to file their Defence lapsed without there being a WSD filed in Court.
2. THAT, upon nonappearance and there being no WSD filed, the Plaintiff applied, through Form No.1 under

Rule 22 (1) of the High Court (Commercial Division) Procedure Rules, 2012 (as amended by Government Notice No.107 of 2019), for a default judgment.

Rule 22(1) of the High Court (Commercial Division) Procedure Rules, 2012 (as amended by Government Notice No.107 of 2019), provides for the possibility on the part of the plaintiff to apply for a default judgment. By definition, a default judgment is a judgement entered in favour of the Plaintiff in a legal case when the Defendant fails to respond to a court summons or does not appear in court. For ease of reference, Rule 22 (1) provides as follows:

“Where a party required to file statement of defence fails to do so within the specified period or where such a period has been extended in accordance with sub-rule 2 of Rule 20 within the period of such extension, the Court may, upon proof of the service and on application by the plaintiff in Form No.1 set out in the Schedule to these Rules accompanied by an affidavit in proof of the claim, enter judgment in favour of the Plaintiff.”

In this suit, the Plaintiff filed Form No.1 and an affidavit as required by the above cited Rule 22 (1). In the case of **A-One Products Machinery Ltd v Hong Kong Hua Yun Industrial Ltd, Commercial Case No.105 of 2017 (unreported)**, this Court, Magoiga, J., citing the earlier case of **Nitro Explosive (T) Ltd v Tanzanite On Mining Ltd, Commercial Case No.118 of 2018**, observed that, the grant of a default judgement is made possible upon proof of the following:

- (i) That, there was a proof of service to the defendant but who failed to file written statement of defence.

(ii) That, the Plaintiff has made an application to the Court in the prescribed Form No. I to the First Schedule to the Rules.

(iii) That, the said Form No. I is accompanied by an affidavit in proof of the claim.

The authorities I have cited herein above, further laid emphasis on the fact that the affidavit filed “*must be self-explanatory proving every claim in the Plaint and the exhibits must as well be authenticated and the ingredients must co-exist for judgement in favour of the plaint to be given*”.

As noted from the facts of this case, the suit is premised on a claim of non-remittance of funds by the Defendant, as an insurance broker, having collected such funds as insurance premiums from the various insured clients upon covernotes for insurance policies provided by the Plaintiff. The amount which was supposed to have been remitted to the Plaintiff is **TZS 83,592,938/=**. It has been demonstrated both as per the affidavit filed in this Court that, although the Defendant purported to send cheques to the Plaintiff to settle part of the claimed amount, the said cheques bounced and thus were dishonoured. Information regarding the said cheques and the cover notes evincing the Plaintiff's claim were received and marked Exh.P.I (collectively).

Having gone through Form I and the affidavit as well as the Plaint filed in this Court, and having examined the original documents of the annexures attached to the affidavit, I am fully satisfied that the Plaintiff has proved his case to the required standards and has met the conditions set out in the authorities I earlier cited. In particular, the

Plaintiff filed Form I and the same was file with a supporting affidavit which is in all fours self –explanatory and the averments therein are fully supported by the annexures whose original copies were availed to the Court and collectively marked as as **Exh.P.I**. All these, when read together, gives a true sense of the claim and justify the granting of the prayers sought by the Plaintiff.

It follows, therefore, that, in terms of Rule 22 (1) of the the High Court (Commercial Division) Procedure Rules, 2012 (as amended by Government Notice No.107 of 2019), this Court, do hereby enters judgement and decree in favour of the Plaintiff and articulate the same as hereunder:

1. THAT, the Defendant is ordered to pay to the Plaintiff a sum of **TZS 83,592,938/=**.
2. THAT the Defendant is hereby ordered to pay interest on the above sum at the Commercial rate of 15% per annum, from the date of default of payment to the date of this judgement until .
3. THAT, the Defendant is hereby ordered to pay interest on the decretal amount at the court rate of 7% from the date of judgement till the date of full payment.
4. THAT the Defendant is condemned to pay the Plaintiff all costs pertaining to the prosecution of this suit.

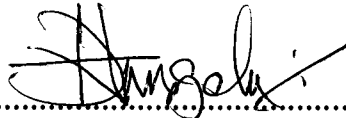
**Further orders:**

That, in terms of Rule 22 (2) (a) and (b) of the High Court (Commercial Division) Procedure Rules, 2012 (as amended by Government Notice No.107 of 2019), this Court do further make an order that, the Decree emanating from this suit shall not be executed



unless the Decree holder has, within a period of ten (10) days from the date of the judgement, publish a copy of the Decree in at least two (2) newspapers of wide circulation in the country and after a period of 21 days from the date of the expiry of the said ten (10) days has elapsed.

**It is so ordered.**



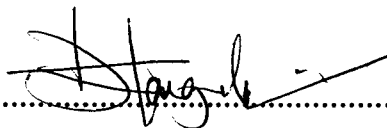
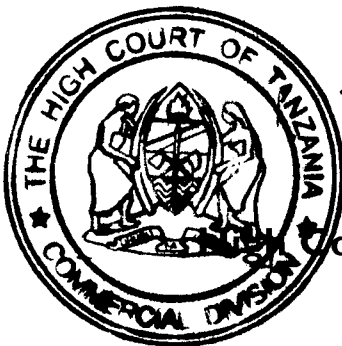
**DEO JOHN NANGELA**

**JUDGE**

**High Court of the United Republic of Tanzania  
(Commercial Division)**

**19/08/2020**

Ruling delivered on this 19<sup>th</sup> day of August 2020, in the presence of Yusuph Sheikh, the Advocates for the Plaintiff and in the absence of the Defendant.



**DEO JOHN NANGELA**

**JUDGE**

**High Court of the United Republic of Tanzania  
(Commercial Division)**

**19/08/2020**